

DO NOT WRITE ON TEST



**DIGITAL MARKETING
CONCEPTS**

~OPEN EVENT~

(594)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (50 @ 2 points each) _____ (100 points)

Test Time: 60 minutes

Multiple Choice

Directions: Identify the letter of the choice that *best* completes the statement or answers the question.

1. A local bakery has decided to offer a new delivery service where customers can order fresh bread and pastries online and have them delivered to their doorstep. They have noticed an increase in sales and customer satisfaction due to this service. What type of utility is the bakery primarily focusing on improving?
 - A. Form
 - B. Time
 - C. Place
 - D. Possession
2. A software company is preparing to launch a new productivity tool aimed at different segments of small businesses. Which approach to market segmentation would be most effective for this product?
 - A. Demographic segmentation based on company size and industry
 - B. Geographic segmentation targeting businesses in urban areas
 - C. Behavioral segmentation focusing on purchase frequency and loyalty
 - D. Psychographic segmentation analyzing attitudes towards technology adoption
3. A small business owner wants to improve their website's visibility on search engines to attract more local customers. Which of the following activities would MOST likely contribute to improving their website's SEO?
 - A. Creating high-quality content with relevant keywords
 - B. Increasing social media followers and posting update
 - C. Redesigning the website with appealing graphics
 - D. Sending promotional emails with discount offers
4. ABC Company has launched eco-friendly household products and wants to enhance its brand reputation. They are considering different marketing strategies. What is the primary role of public relations (PR) in promoting ABC Company's eco-friendly household products?
 - A. Managing customer relationships through direct sales
 - B. Distributing coupons and discounts to increase sales
 - C. Promoting products and services through advertising campaigns
 - D. Building positive brand reputation and managing media relations
5. You are tasked with marketing a new line of luxury pet accessories targeted specifically at affluent pet owners who prioritize style and quality. Which strategy would be most effective in reaching this niche market?
 - A. Distributing flyers in residential neighborhoods
 - B. Advertising on a local radio station during morning rush hours
 - C. Collaborating with upscale pet boutiques and grooming salons
 - D. Placing ads in general lifestyle magazines

6. ABC Toys is developing a new line of educational toys for toddlers. They have designed a feature that enhances sensory learning through interactive touch screens, a unique feature not available in other toddler toys on the market. What strategic element should ABC Toys emphasize to differentiate their product from competitors?
 - A. Brand positioning
 - B. Market segmentation
 - C. Product diversification
 - D. Unique Selling Proposition (USP)
7. You are a digital marketing manager tasked with enhancing brand visibility and engagement for your company's new line of sustainable clothing. Which of the following best describes the primary goal of content marketing for this initiative?
 - A. To create brand awareness through TV ads
 - B. To develop software for content distribution
 - C. To share valuable content with a defined audience
 - D. To maximize sales through direct marketing
8. A company specializing in premium organic skincare products wants to differentiate itself in the competitive market. They focus on using sustainable ingredients and eco-friendly packaging. Which aspect of marketing strategy are they primarily concerned with?
 - A. Placing physical products on shelves in stores
 - B. Reducing prices to gain market share
 - C. Establishing a unique place for their brand in consumers' minds
 - D. Conducting market research on competitors' brands
9. Imagine you are part of a marketing team at a new startup. Your CEO asks you to outline the company's approach to attracting and converting customers. What would you describe as a marketing strategy?
 - A. A company's overall plan to reach prospective consumers and convert them into customers
 - B. A short-term promotional campaign
 - C. An operational plan for managing human resources
 - D. A financial strategy to reduce costs
10. What does the AIDA model represent in marketing?
 - A. Awareness, Involvement, Decision, Acquisition
 - B. Attention, Interest, Desire, Action
 - C. Appeal, Interest, Decision, Acceptance
 - D. Analysis, Interest, Determination, Adaptation
11. What is the process of dividing a large market into smaller, more manageable groups of consumers?
 - A. Market segmentation
 - B. Market targeting
 - C. Market positioning
 - D. Market research

12. What is the process of tailoring marketing efforts to meet the needs and preferences of individual consumers?
 - A. Market positioning
 - B. Product positioning
 - C. Market segmentation
 - D. Mass marketing
13. Which marketing strategy focuses on offering a low price to attract customers and gain market share?
 - A. Penetration pricing
 - B. Differentiation
 - C. Focus
 - D. Niche marketing
14. What is the process of systematically tracking, evaluating, and analyzing marketing performance?
 - A. Marketing analytics
 - B. Market research
 - C. Marketing strategy
 - D. Customer segmentation
15. What metric measures the revenue generated by a company's sales and marketing efforts relative to the cost of those efforts?
 - A. Return on investment
 - B. Customer lifetime value
 - C. Gross margin
 - D. Customer acquisition cost
16. What is the ratio of the number of visitors to a website who take a desired action, such as making a purchase, to the total number of visitors?
 - A. Conversion rate
 - B. Click-through rate
 - C. Bounce rate
 - D. Engagement rate
17. Which of the following is a marketing channel where companies pay for ad placements on websites, social media platforms, or search engine results pages?
 - A. Display advertising
 - B. Social media advertising
 - C. Email marketing
 - D. Content marketing

18. What is the process of segmenting a market based on consumers' behaviors, such as their online browsing habits, purchase history, or engagement with content?
- A. Behavioral segmentation
 - B. Demographic segmentation
 - C. Geographic segmentation
 - D. Psychographic segmentation
19. Which of the following is NOT a common email marketing practice?
- A. Email segmentation
 - B. A/B testing
 - C. Landing page optimization
 - D. Click-through rate tracking
20. A(n) _____ is an advertising employee who talks to the target markets, conducts research, and even travels to see how the target market lives, works, and thinks.
- A. marketing researcher
 - B. account executive
 - C. account planner
 - D. marketing associate
21. In probability samples, the probabilities of each element being included must be _____.
- A. known and equal
 - B. known and nonzero
 - C. nonzero
 - D. equal
22. A company is launching a new line of ski equipment. To identify the best target markets based on geographic location, which approach should they use?
- A. Conducting surveys among ski instructors
 - B. Analyzing sales data from ski resorts
 - C. Interviewing professional athletes
 - D. Hosting focus groups with university students.
23. Calculate the cost per thousand impressions (CPM) for an online display ad that costs \$1,500 and receives 120,000 impressions.
- A. \$12.50
 - B. \$10.00
 - C. \$6.25
 - D. \$8.75
24. A company runs an online advertising campaign that costs \$10,000 and generates 500 new leads. Out of these leads, 100 convert into paying customers. What is the Cost per Lead (CPL) for this campaign?
- A. \$10
 - B. \$20
 - C. \$50
 - D. \$100

25. A digital marketing agency started the year with 500 clients. By the end of the year, they had retained 400 clients. Calculate the retention rate for the agency.
- A. 75%
 - B. 80%
 - C. 85%
 - D. 90%
26. Which of the following is NOT a common segmentation variable used in marketing?
- A. Age
 - B. Income
 - C. Gender
 - D. Race
27. What is the element of the marketing mix that includes a variety of communication disciplines such as advertising, sales promotion, public relations, direct marketing, and personal selling?
- A. Promotion
 - B. Product
 - C. Price
 - D. Place
28. What is the metric used to measure the percentage of customers who would recommend a company's products or services to others?
- A. Net promoter score (NPS)
 - B. Customer lifetime value (CLV)
 - C. Return on investment (ROI)
 - D. Customer satisfaction
29. A company in the subscription-based software industry has an average customer lifespan of 3 years. The average annual revenue per customer is \$1,200. The average cost of acquiring a new customer is \$500. Calculate the Customer Lifetime Value (CLV) for this company.
- A. \$2,200
 - B. \$2,500
 - C. \$3,100
 - D. \$3,600
30. Which of the following is NOT a common method for increasing engagement on social media platforms?
- A. Post regularly
 - B. Use relevant hashtags
 - C. Ignore negative comments
 - D. Interact with followers

31. Which of the following is NOT a common type of influencer based on their follower count?
- A. Nano influencer
 - B. Micro influencer
 - C. Macro influencer
 - D. Mega influencer
32. What is the term used to describe the process of sending a series of automated emails to subscribers based on their actions or behaviors?
- A. Email automation
 - B. Drip marketing
 - C. Email sequencing
 - D. Behavioral marketing
33. What term refers to the process of improving the quality and quantity of inbound links to a website from other websites?
- A. Link building
 - B. Backlinking
 - C. Inbound linking
 - D. External linking
34. Which of the following is NOT a common type of survey question?
- A. True/False
 - B. Multiple choice
 - C. Open-ended
 - D. Binary
35. Which of the following is NOT a common type of data used in market research?
- A. Primary data
 - B. Secondary data
 - C. Qualitative data
 - D. Inferential data
36. Which of the following is NOT a common source of secondary data in market research?
- A. Government agencies
 - B. Trade associations
 - C. Competitors' proprietary data
 - D. Surveys
37. What is the term used to describe the process of assigning numbers to responses in a survey?
- A. Coding
 - B. Scaling
 - C. Tabulating
 - D. Analyzing

38. What term is used to describe the process of identifying patterns and relationships in data?
- A. Data mining
 - B. Data analysis
 - C. Data interpretation
 - D. Data visualization
39. What is the term used to describe the probability of incorrectly rejecting a true null hypothesis in hypothesis testing?
- A. Type I error
 - B. Type II error
 - C. Power
 - D. Significance level
40. Which of the following is NOT a common statistical software program used in market research?
- A. Excel
 - B. SPSS
 - C. SAS
 - D. STATA
41. Which of the following is NOT a common type of regression analysis used in market research?
- A. Linear regression
 - B. Logistic regression
 - C. Multiple regression
 - D. Cluster analysis
42. Which of the following is NOT a common on-page SEO factor?
- A. Meta keywords
 - B. Title tags
 - C. Header tags
 - D. URL structure
43. Calculate the click-through rate (CTR) for a display ad that receives 500 clicks from 20,000 impressions.
- A. 2.5%
 - B. 25%
 - C. 0.025%
 - D. 2%
44. What is the term used to describe the process of improving the performance of a website or app by making data-driven decisions and optimizations?
- A. Conversion rate optimization (CRO)
 - B. User experience optimization
 - C. A/B testing
 - D. Data-driven design

45. What term refers to the process of testing a hypothesis by comparing observed data to the results expected under the null hypothesis?
- A. Hypothesis testing
 - B. Data analysis
 - C. Data interpretation
 - D. Data visualization
46. A company tests whether changing the color scheme of its website affects user engagement. They measure the average time spent on the website per visit for two groups: one with the new color scheme and one with the old. What is the null hypothesis in this scenario?
- A. Changing the color scheme will significantly increase user engagement.
 - B. The new color scheme will decrease user engagement compared to the old color scheme.
 - C. There is no difference in user engagement between the two-color schemes.
 - D. User engagement will be the same regardless of the color scheme.
47. Calculate the return on investment (ROI) for an advertising campaign that costs \$2,000 and generates \$8,000 in revenue.
- A. 300%
 - B. 75%
 - C. 25%
 - D. 400%
48. A/B testing is useful in determining _____.
- A. best marketing strategies
 - B. customer demographics
 - C. advertising budgets
 - D. competitor analysis
49. An example of user-generated content is a _____.
- A. brand's promotional video
 - B. blog post by a company
 - C. customer's review
 - D. paid advertisement
50. The term 'conversion funnel' refers to a _____.
- A. marketing strategy
 - B. sequence of steps leading to a conversion
 - C. social media trend
 - D. type of advertisement